dia recently, "Raising exports by nearly $100 billion is not easy during these times... While services have made up for some of the shortfall on the goods side, even goods exports have increased and would have been higher but for some of the export restrictions." Goyal, however, believes that the new FTP can help India achieve its export goals. The policy is based on four pillars: incentive to remission, that is, taxes and levies borne on the exported products should be either exempted or remitted to exporters; export promotion through collaboration; ease of doing business, reduction in transaction cost and e-initiatives; developing districts as export hubs and streamlining SCOMET (special chemicals, organisms, materials, equipment and technologies) policy. Simultaneously, the Centre is taking several steps to boost exports, which include a trade partnership with the UAE and Australia. "If we can do [trade pacts] with the UK, Canada and Israel, and maybe with the GCC [Gulf Cooperation Council], we'll have better market access," says Sahai.

HOW TO BOOST EXPORTS

- India must enhance sunrise sectors like electronics, pharma and high technology
- The government should continue to focus on agricultural exports, where India is already doing well
- Lower logistics costs for exports and manufacturing can help exporters, as well as increase liquidity, as payments get delayed amid inventory build-up

MACHINERY, TECHNOLOGY AND ELECTRICAL AND ELECTRONIC PRODUCTS MAKE UP 35 PER CENT OF GLOBAL TRADE, BUT INDIA HAS JUST A 1 PER CENT SHARE IN IT

The problem, though, is that India is beginning to feel the ripples of a major economic slowdown that the developed world is staring at. In November 2022, S&P Global said global growth will slow down to 2.2 per cent this year from an estimated 3.4 per cent, with the US economy contracting 0.1 per cent and the Eurozone remaining flat, as the impact of continued monetary policy tightening across major economies becomes apparent. The US Federal Reserve recently hiked interest rates further to arrest inflation, putting pressure on its banking sector, with two banks—the Silicon Valley Bank and the Signature Bank—collapsing last month. Europe, too, is left shaken by the fall of Credit Suisse, its second largest bank, which was subsequently taken over by UBS, the country's largest bank.

India may feel the heat to some extent as labour-intensive sectors like textiles, footwear and leather depend on exports to these zones, making them particularly vulnerable, says a Crisil report. Already, commodity prices have softened, hitting exporters. "Exports are demand-driven and the slowdown in growth that has happened due to the Russia-Ukraine war is likely to continue in 2023," says Madan Sabnavis, chief economist with Bank of Baroda. Growth in exports will remain flat even in 2023-24, he says. Also, the competitive advantage India enjoys from the rupee's weakening may not hold either, as most currencies have been weakening against the dollar. Moreover, last year, India placed restrictions on the export of agricultural commodities like non-basmati rice and wheat, and levied export duty varying from 15 per cent on steel to around 50 per cent on iron ore. Though these tariffs were revoked later, exporters were left hurt.

Nonetheless, Sabnavis believes that beyond a slight slowdown, India may remain somewhat insulated from any potential global financial crisis. "We have not reached a situation where countries are dependent on India for vital inputs as part of the supply chain. The moment we get part of the global supply chain, the risk of exports crashing will be higher," he says.

India may also see more production from a few of the sectors covered by the PLI scheme, and a part of that can find its way to the global market. For instance, mobile exports from India are slated to touch $10 billion (Rs 82,000 crore) this year, and areas such as electronics and pharma may see better performance too. Per experts, among other steps, the government must focus on enhancing these 'sunrise' sectors—currently, machinery, technology and electrical and electronic products make up 35 per cent of global trade, but India has a barely 1 per cent share in it.

Additionally, India can gain from the global situation if it manages to increase exports to Russia. In the first 10 months of 2022, the country imported goods, including oil, worth around $29 billion (Rs 2.4 lakh crore) from Russia, while exports were just around $2 billion (Rs 16,436 crore). That can be improved, for Russia is willing to import a lot from India but is constrained by banking and logistics challenges, say experts. "We have an opportunity of $60 billion of non-oil exports [to Russia]. If we can operationalise the rupee settlement mechanism, we will have enough rupee lying in the account and Russians will have more interest in buying from India," says Sahai.

In the immediate future, what's required is lowering logistics costs, as well as increasing liquidity in exports as buyers delay payments amid inventory build-ups. Also, India is already doing well in agricultural exports, and the government should retain its sharp focus on the sector, say experts.

India can breathe easy for now, but it must continue to work on expanding its export prowess if it has to reach the $2 trillion target the commerce minister has set for it to meet by 2030. ■